
National Summary

Overall Economic Activity

Economic activity maintained a slight to modest pace of growth in a majority of Districts this reporting cycle. However, while seven Districts reported some level of increase in activity, five noted flat or declining activity—three more than in the prior reporting period. Wages continued to grow at a modest to moderate pace in most Districts, while prices were generally reported to have risen modestly. Household spending was little changed this period according to most District banks. Auto sales varied across Districts this cycle, but some Districts noted that sales were lower due in part to a cyberattack on dealerships and high interest rates. Most Districts saw soft demand for consumer and business loans. Reports on residential and commercial real estate markets varied, but most banks reported only slight changes, if any, in recent weeks. Travel and tourism grew steadily and was on par with seasonal expectations. Agricultural conditions varied in tandem with sporadic droughts across the nation. Districts also reported widely disparate trends in manufacturing activity ranging from brisk downturn to moderate growth. Retail restocking spurred slight growth in transportation activity. Meanwhile, tight capacity in ocean shipping led to a surge in spot rates. Expectations for the future of the economy were for slower growth over the next six months due to uncertainty around the upcoming election, domestic policy, geopolitical conflict, and inflation.

Labor Markets

On balance, employment rose at a slight pace in the most recent reporting period. Most Districts reported employment was flat or up slightly, while a few Districts reported modest employment growth. Several Districts reported declines in employment in the manufacturing sector due to slow-downs in new orders. Skilled-worker availability remained a challenge across all Districts; however, several Districts reported some improvement in labor supply conditions. Additionally, labor turnover was lower, which reduced demand to find new workers. Looking ahead, contacts in several Districts expect to be more selective on who they hire and not backfill all open positions. Wages grew at a modest to moderate pace in most Districts. However, several Districts reported some slowing of wage growth due to increased worker availability and less competition for workers.

Note: This report was prepared at the Federal Reserve Bank of Richmond based on information collected on or before July 8, 2024. This document summarizes comments received from contacts outside the Federal Reserve System and is not a commentary on the views of Federal Reserve officials.

Prices

Prices increased at a modest pace overall, with a couple Districts noting only slight increases. While consumer spending was generally reported as showing little to no change almost every District mentioned retailers discounting items or price-sensitive consumers only purchasing essentials, trading down in quality, buying fewer items, or shopping around for the best deals. Most Districts noted that input costs were beginning to stabilize; however, Atlanta specifically noted products like copper and electrical supplies have seen a notable increase over this period.

Highlights by Federal Reserve District

Boston

Economic activity rose modestly on balance. Prices increased slightly, and wage growth was slow amid stable employment levels. Residential real estate activity increased with improvements in supply, but commercial activity remained flat with increasing concerns for office leasing activity. The outlook remains cautiously optimistic, but contacts continue reporting elevated uncertainty.

New York

On balance, regional economic activity was little changed. Labor market conditions continued to moderate, with labor demand easing and the supply of workers increasing noticeably. Consumer spending was up slightly and remained solid. Though inventory increased, home sales activity remained restrained. Selling prices continued to increase at a modest pace.

Philadelphia

Business activity continued to grow slightly in the current Beige Book period. Nonmanufacturing activity lifted job growth to a modest pace; however, wage inflation remained modest. Firms reported modest increases in costs paid and prices received and noted increased competition in consumer-facing sectors. Expectations for future growth remained slightly positive overall—waxing for most firms, but waning for manufacturers.

Cleveland

District business activity declined slightly in recent weeks, and contacts expected flat activity in the months ahead. Consumer spending continued to decline modestly, and demand for manufactured goods softened. Employment levels remained flat. Overall, contacts indicated that wage and input cost growth remained moderate, and that selling prices grew modestly.